and/or by disposal of the asset created. Likewise the received money needs to be repaid periodically and settled finally by repaying the full amount. For example from the loan paid to a foreigner periodical interest income is received, the paid principal amount can be recovered from the debtor at the same time.

i. External Assistance (net)

External assistance means the transaction of official (government) bilateral and multilateral loans. The bilateral loans are loan transactions between two countries. Multilateral loans are official loan transactions between a country and multilateral bodies like World Bank, IMF and Asian Development Bank, etc.

ii. External Commercial Borrowings (net)

Commercial borrowing means loan transaction by commercial enterprises. It is also called as External Commercial Borrowing (ECB).

ECB refer to commercial loans in the form of bank loans, buyers' credit, suppliers' credit, securitised instruments availed from non-resident lenders with a minimum average maturity of three years.

Securitised instruments refer to debt securities like bonds and preference shares. Buyers' credit and suppliers' credit are called trade credits. Depending on the source of finance, such trade credits are classified as Suppliers' Credit or Buyers' Credit. Suppliers' credit relates to credit for imports into India extended by the overseas supplier, while buyers' credit refers to loans for repayment of imports into India arranged by the importer from a bank or financial institution outside India. It is to be noted that both of them are for the purpose of import and loan availed by importer. In the supplier's credit only two parties namely exporter and importer are involved in the buyer's credit; a third party namely bank or financial institution comes into the picture to finance the import.

ECB can be raised only for specific purposes, such as the import of